

Notes: Gennaioli, Shleifer, and Vishny (JF, 2013)

A Model of Shadow Banking

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1 Big picture

- **Question.** Why did shadow banking expand so dramatically before the financial crisis, why did securitized assets look safe, and why did the system become fragile once neglected risks were recognized?
- **Core mechanism.** Securitization eliminates idiosyncratic risk by pooling loans. This allows financial intermediaries to issue debt that investors perceive as safe. But the same pooling concentrates aggregate and tail risk on intermediaries' balance sheets.
- **Investor demand.** Outside investors are modeled as extremely risk averse and therefore demand riskless debt. Their wealth drives demand for safe claims and indirectly drives demand for securitization.
- **Intermediary behavior.** Risk-neutral intermediaries finance safe projects and risky projects. Once safe-project collateral is exhausted, they use securitization to expand debt capacity and pursue a carry trade: issue safe debt, buy risky projects, pledge worst-state cash flows, and keep upside.
- **Rational-expectations benchmark.** If all aggregate states are correctly considered, securitization and leverage can be welfare-improving. Riskless debt is truly repaid, idiosyncratic risk is diversified, and aggregate risk is allocated to risk-neutral intermediaries.
- **Neglected-risk result.** If agents ignore the low-probability recession state, they treat debt as safer than it really is. Securitization expands too much, leverage rises, intermediaries become more interconnected, and the system becomes fragile.
- **Key reversal.** Diversification is beneficial under correct beliefs, but dangerous under neglected risk. What looks like insurance against idiosyncratic risk becomes a mechanism for concentrating systematic risk.
- **Liquidity dry-up.** When bad news arrives gradually, intermediaries realize they are exposed to a previously neglected branch of the state space. Secondary markets for securitized claims become illiquid because successful intermediaries lack enough spare wealth to absorb claims from unsuccessful ones.
- **Policy message.** The paper argues for broad leverage controls and caution toward financial innovations marketed as safe. Risk-weighted rules can fail because ratings and measured risks may themselves reflect neglected risks.

2 Incremental contribution of the paper

- **Beyond standard securitization theory.** Earlier models often emphasize securitization as information-sensitive security design, regulatory arbitrage, or risk sharing. This paper adds a new channel: securitization can be privately and socially useful under rational expectations but destructive when tail risks are neglected.
- **From idiosyncratic diversification to systemic fragility.** The paper's distinctive contribution is showing that the same mechanism that removes idiosyncratic risk creates aggregate exposure. Diversification is not simply risk reduction; it reallocates which risks remain and who bears them.
- **Endogenous balance-sheet expansion.** It jointly explains growth in intermediary assets, growth in leverage, and demand for safe debt. Investor wealth and safe-asset demand are not side details; they determine the scale of shadow banking.
- **Interconnectedness as an endogenous outcome.** Banks become interconnected not because of an exogenous network but because they buy and sell shares of risky pools to diversify. The network is created by securitization itself.
- **Neglected risk rather than pure moral hazard.** The paper separates beliefs from incentives. Financial executives and investors may take large risks not because they consciously expect a bailout, but because a disastrous state is not salient or is excluded from their perceived state space.

- **A bridge between behavioral beliefs and macro-finance.** The model embeds psychological neglect of low-probability risks into a formal equilibrium model with leverage, interest rates, debt capacity, and market liquidity.
- **Crisis interpretation.** The paper contributes a narrative of the 2007–2009 crisis in which AAA-rated securities and securitization were not merely ways to sell risk to outsiders; they were tools that allowed core intermediaries to lever up while keeping tail risk concentrated inside the financial system.
- **Regulatory implication.** The model suggests that regulators need not identify the exact neglected risk. They can monitor signs of neglect: rapid growth of supposedly safe collateral, rising leverage, concentration in one asset class, and extensive securitized borrowing.

3 Model primitives and measurement

3.1 Agents, dates, and states

- The model has dates $t = 0, 1, 2$.
- Outside investors receive endowment w at $t = 0$ and want to save in riskless claims.
- Investors are extremely risk averse: they value future stochastic consumption streams by their worst-case consumption.
- Financial intermediaries are risk neutral and have initial wealth $w_{int} < 1$.
- Final states are $\Omega_2 = \{g, d, r\}$: growth, downturn, and recession.
- Success probabilities satisfy $\pi_g > \pi_d > \pi_r$, where π_ω is the share of risky projects that succeed in state ω .

Interpretation: The key asymmetry is that investors want safety while intermediaries can bear risk. Shadow banking arises because intermediaries manufacture safe-looking claims for investors.

3.2 Safe and risky technologies

The safe technology H returns

$$RI_{H,j}$$

for intermediary j . The risky technology L returns

$$f(I_{L,j}) = \begin{cases} AI_{L,j}, & \text{with probability } \pi_\omega, \\ 0, & \text{with probability } 1 - \pi_\omega, \end{cases}$$

in state $\omega \in \{g, d, r\}$.

Interpretation: The risky technology has both idiosyncratic and aggregate risk. Individual intermediaries may fail even in a given aggregate state, and the share of successful projects changes across aggregate states.

3.3 Limited safe projects and marginal return schedule

- Safe projects are limited in supply.
- Intermediaries first use their wealth and investor funds for safe projects.
- Once safe projects are exhausted, further investment must go into risky projects.
- The marginal return schedule therefore has a safe segment and a risky segment.

Interpretation: Figure 1 visually summarizes why shadow banking becomes relevant. Once safe collateral is exhausted, intermediaries need securitization to issue more debt against risky projects.

3.4 Securitization

- Intermediaries can buy and sell shares of risky projects.
- By holding a diversified pool, an intermediary removes idiosyncratic risk.
- The pool still has aggregate risk because its payoff depends on π_g, π_d, π_r .
- Senior claims backed by diversified pools can be issued as debt if their worst-state payoff is sufficient.

Interpretation: Securitization transforms idiosyncratic risk into systematic exposure. It does not make aggregate risk disappear.

3.5 Riskless debt capacity under rational expectations

If agents recognize the recession state, riskless debt must be backed by the worst aggregate state:

$$rD_j \leq RI_{H,j} + \pi_r AS_{L,j},$$

where $S_{L,j}$ is the securitized risky-pool position.

Interpretation: This constraint is conservative because investors require repayment even in recession. Under correct beliefs, riskless debt is truly riskless.

3.6 Riskless debt capacity under neglected risk

When recession is neglected, the worst contemplated state is downturn rather than recession:

$$rD_j^N \leq RI_{H,j}^N + \pi_d AS_{L,j}^N.$$

Because $\pi_d > \pi_r$, the perceived debt capacity of the same pool is higher under neglect.

Interpretation: This is the central distortion. A pool that cannot safely support a large amount of debt in the recession state appears able to support it when recession is excluded from beliefs.

4 Models and theoretical specifications

4.1 Rational-expectations shadow banking

Under rational expectations, investors correctly recognize all states. Proposition 1 divides the equilibrium into wealth regions:

- Low investor wealth: only safe projects are financed; no securitization is needed.
- Intermediate wealth: some risky projects are financed, but safe returns are still enough to repay debt.
- Higher wealth: partial securitization is needed to absorb investor wealth and support safe debt.
- Very high wealth: securitization is maximal and interest rates fall below the average risky return to clear the safe-debt market.

Interpretation: This benchmark shows that shadow banking can arise endogenously even without distorted beliefs. The demand for safe debt and limited supply of safe collateral push intermediaries toward securitization.

4.2 Interest rate, wealth, and securitization

Figure 2 summarizes the relationship between investor wealth w , the equilibrium interest rate r , and the level of securitization.

- When w is low, $r = R$ because only safe projects are financed.
- When risky projects are financed but no securitization is needed, r is pinned by the marginal return on risky investment.
- When investor wealth is high enough that safe collateral is insufficient, securitization expands debt capacity.
- When all projects are securitized, further growth in investor wealth lowers r .

Interpretation: The model links low safe interest rates, high safe-debt demand, securitization, and leverage in one equilibrium system.

4.3 Neglected risk

Risk neglect is modeled by assuming that agents only think about the two most likely states at $t = 0$:

$$\Omega^N = \{g, d\}.$$

They exclude recession r from their perceived state space.

Interpretation: The neglected-risk assumption is about beliefs, not preferences. Investors can be extremely risk averse about states that come to mind and still fail to consider a non-salient disaster state.

4.4 Equilibrium under neglected risk

Proposition 2 states that, for a given investor wealth level:

- the interest rate is weakly higher than under rational expectations;
- debt and investment are weakly higher;
- securitization starts at lower wealth levels and, for sufficiently large wealth, is higher than under rational expectations.

Interpretation: Neglect raises the perceived collateral value of securitized pools. Intermediaries can borrow more and investors believe they are buying safe claims.

4.5 Why neglect creates fragility

When recession occurs, the true payoff on securitized pools is lower than agents expected. Intermediaries have issued debt against the downturn payoff $\pi_d A$, but the true recession payoff is $\pi_r A$.

Interpretation: The financial system becomes fragile not merely because the recession occurs, but because balance sheets were expanded using a false worst-case scenario.

4.6 Slow arrival of information and liquidity dry-ups

The model then adds an interim date $t = 1$, at which partial information arrives before final payoff. Some projects pay early, and markets observe whether they are in the high or low branch of the information tree.

Interpretation: This extension allows the model to generate price drops and liquidity dry-ups before final defaults occur, matching crisis dynamics in which bad news first hits collateral markets.

4.7 Proposition 3: liquidity after recognition of neglected risk

Proposition 3 characterizes whether early successful intermediaries have enough spare wealth to buy risky debt claims from late or unsuccessful intermediaries. If their spare wealth is low, debt prices fall to investors' reservation value and markets become illiquid.

Interpretation: Securitization creates fragility through two channels: it exposes intermediaries to unexpected aggregate shocks, and it drains the spare balance-sheet capacity that would otherwise backstop secondary markets.

4.8 Risk premia and risky debt

The paper also discusses risky debt and risk premia. If early project returns allow intermediaries to pledge more collateral, they can issue riskier debt securities. When neglected risks become salient, market values fall and risk premia rise.

Interpretation: The liquidity and risk-premium results connect the static leverage mechanism to crisis-time market behavior: falling collateral values, distress sales, and spikes in premia.

5 Theoretical design and credibility of the mechanism

5.1 Why the rational-expectations benchmark matters

- It shows that securitization is not inherently bad.
- It isolates the beneficial role of diversification and risk allocation.
- It makes the later fragility result sharper: the same contracts that are efficient with correct beliefs become destructive with neglected risk.

Interpretation: The paper does not argue against all securitization. It argues that securitization becomes dangerous when its safety is evaluated using an incomplete state space.

5.2 Why idiosyncratic risk is essential

- Securitization has something real to do: it diversifies intermediary-specific failure risk.
- Diversification allows safer senior claims to be issued.
- But once idiosyncratic risk is diversified, the remaining risk is aggregate.

Interpretation: This is why the title mechanism is subtle: reducing one type of risk increases concentration in another.

5.3 Why investor wealth matters

- Investor wealth shifts demand for riskless claims.
- Higher demand for safe debt makes intermediaries expand balance sheets.
- When demand exceeds safe collateral, securitization becomes the route to additional debt issuance.

Interpretation: The model links global safe-asset demand to shadow banking growth. Balance-sheet expansion is an equilibrium response to investor demand, not simply an exogenous bank choice.

5.4 Comparison with other crisis theories

- **Adverse selection:** safe debt collapses when investors decide to produce information.
- **Regulatory arbitrage:** banks retain tail risk because regulation encourages it or because they expect bailouts.
- **This paper:** risk is retained because intermediaries are the efficient risk bearers under rational expectations, but neglected risk makes this risk allocation excessive and fragile.

Interpretation: The theories are complementary, but this paper’s distinctive object is the role of mistaken beliefs about tail aggregate states.

5.5 Limitations

- The model is theoretical and does not estimate the magnitude of neglected risks.
- Investors are modeled as infinitely risk averse, which sharpens demand for safe debt.
- The paper abstracts from detailed institutional features of repo, regulatory capital rules, rating-agency incentives, and run dynamics.
- The assumption that agents fully exclude the recession state is stylized.

Interpretation: These abstractions make the mechanism transparent: securitization expands leverage because of perceived safety, and this expansion becomes fragile when the perceived state space is wrong.

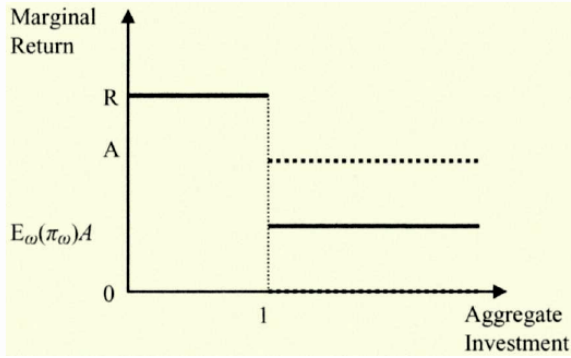
6 Tables, figures, and extracted proposition blocks

6.1 Figure 1: Marginal Return on Investment and Figure 2: Interest Rate, Wealth, and Securitization

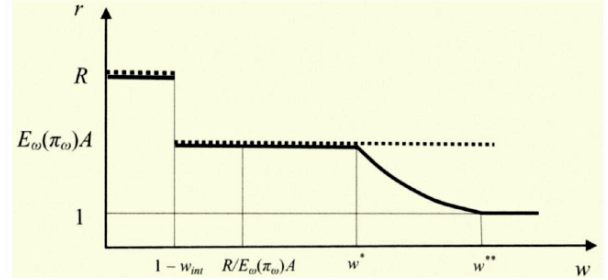
Read:

- **Figure 1** shows the safe return R , the risky payoff A , and the expected return $E_\omega(\pi_\omega)A$ after aggregate investment exceeds the limited supply of safe projects.
- The dashed lines indicate idiosyncratic realizations at the intermediary level: individual risky projects either pay A or zero.
- **Figure 2** plots how the equilibrium interest rate changes with investor wealth.
- Below $1 - w_{int}$, investors finance only safe projects.
- Between $1 - w_{int}$ and $R/E_\omega(\pi_\omega)A$, risky projects are added but securitization is not yet needed.
- At higher wealth levels, securitization expands debt capacity, and eventually all projects are securitized.

Economic message: Figure 1 introduces why risky projects require securitization to support safe debt. Figure 2 shows the equilibrium scale effect: more investor wealth pushes the system toward securitization, leverage, and eventually lower safe rates.



(a) Figure 1: Marginal return on investment



(b) Figure 2: Interest rate, wealth, and securitization

6.2 Proposition 1: Rational-Expectations Equilibrium and Proposition 2: Equilibrium under Neglected Risk

Read:

- **Proposition 1** provides the rational-expectations benchmark. Investor wealth determines whether the economy finances only safe projects, adds risky projects without securitization, uses partial securitization, or reaches maximal securitization.
- The key thresholds are w^* and w^{**} . They mark the transition from no securitization to partial securitization and then to maximal securitization.
- **Proposition 2** modifies Proposition 1 when recession is neglected.
- Under neglect, the perceived worst state is downturn, so securitized collateral appears safer and supports more debt.
- Interest rates, leverage, investment, and securitization are weakly higher than under rational expectations for a given wealth level.

Economic message: The proposition pair shows the paper's main theoretical contrast. Rational expectations make securitization a benign risk-sharing technology; neglected risk makes the same securitization technology support excessive leverage.

of the pool to investors, they raise leverage. Combined with liquidity guarantees from safe projects, the senior tranche of the diversified pool of projects is safe, and thus serves as acceptable collateral for riskless debt. The question then arises: when does securitization take place and what does this imply for leverage, interest rates, and investments? In particular, we would like to know whether greater leverage is associated with larger assets of the intermediaries, and greater aggregate risk. We have the following characterization result:

PROPOSITION 1: *If $E_\omega(\pi_\omega) \cdot A > 1$, there are two thresholds w^* and w^{**} ($w^{**} > w^*$) such that, in equilibrium, intermediaries issue $D_j = \min(w, w^{**})$ and the $t = 0$ allocation fulfills:*

- (a) *If $w \leq 1 - w_{int}$, investor wealth is so low that only the safe project is financed and securitization does not occur. Formally, $I_{H,j} = w_{int} + w$, $I_{L,j} = 0$, and $S_{L,j} = T_{L,j} = 0$. The equilibrium interest rate is $r = R$.*
- (b) *If $w \in (1 - w_{int}, R/E_\omega(\pi_\omega) \cdot A]$, investor wealth is sufficiently high that some risky projects are also financed, but the return on safe investments is enough to repay all debt. As a consequence, securitization does not yet occur. Formally, $I_{H,j} = 1$, $I_{L,j} = w_{int} + w - 1$, and $S_{L,j} = T_{L,j} = 0$. The equilibrium interest rate is $r = E_\omega(\pi_\omega) \cdot A$.*
- (c) *If $w \in (R/E_\omega(\pi_\omega) \cdot A, w^*]$, investor wealth starts to be high enough that not only are some risky projects funded, but the safe return is insufficient to repay debt. Partial securitization emerges in the amount that allows intermediaries to just absorb all investor wealth. Formally, $I_{H,j} = 1$, $I_{L,j} = w_{int} + w - 1$, and $S_{L,j} = T_{L,j} \in (0, I_{L,j})$. The equilibrium interest rate is still $r = E_\omega(\pi_\omega) \cdot A$.*
- (d) *If $w > w^*$, then investor wealth is so high that many risky projects are funded and securitization is maximal. Formally, $I_{H,j} = 1$, $I_{L,j} = w_{int} + \min(w, w^{**}) - 1$, and $S_{L,j} = T_{L,j} = I_{L,j}$. To allow intermediaries to absorb all of investor wealth, the interest rate must fall below the (average) return $E_\omega(\pi_\omega) \cdot A$ and is a decreasing function $r(w)$ of investors' wealth.*

The details of the equilibrium, including the prices p_H and p_L , are described in the proof (which also studies the case in which $E_\omega(\pi_\omega) \cdot A \leq 1$). In Figure 2,

Proposition 1: rational-expectations equilibrium

PROPOSITION 2: *In equilibrium under neglected risk, for any given level of investors' wealth w :*

- (a) *The interest rate is weakly higher than under rational expectations, $r^N \geq r$.*
- (b) *Debt (and thus investment) is weakly higher than under rational expectations, $D^N \geq D$.*
- (c) *Securitization arises for lower levels of wealth w than under rational expectations, and for w sufficiently large is higher than under rational expectations, $S_L^N \geq S_L$.*

Proposition 2: neglected-risk equilibrium

6.3 Figure 3: The Interest Rate under Neglect of Risk

Read:

- The bold curve is the equilibrium interest rate under neglected risk.
- The dashed curve is the rational-expectations benchmark.
- Under neglect, agents believe risky projects have a higher effective return and believe securitized collateral is safer.

- Securitization begins at lower wealth $w^{*,N}$ than under rational expectations.
- At high wealth, leverage is higher under neglect even if investment quantities converge.

Economic message: Neglect raises the shadow value of securitization. It lets intermediaries absorb more investor wealth and issue more debt because the debt constraint is based on a less severe perceived worst state.

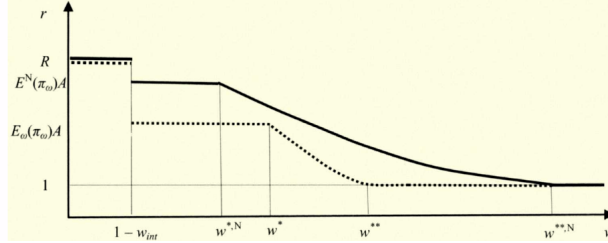


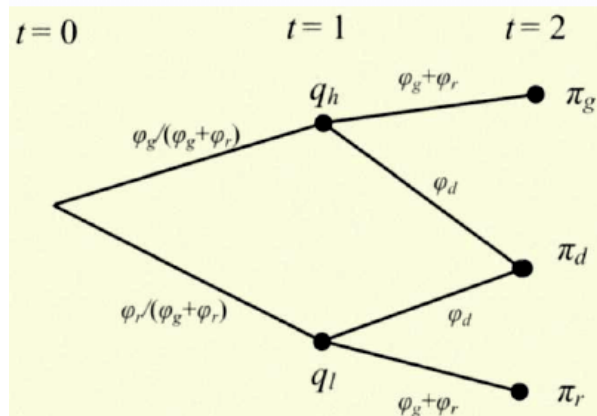
Figure 3: The interest rate under neglect of risk

6.4 Figure 4: Information Tree and Figure 5: Information Tree with Neglected Risk

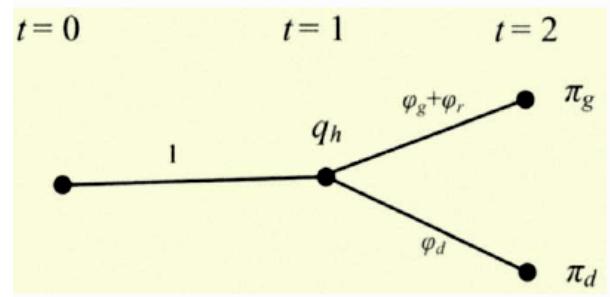
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- **Figure 4** shows the full information tree. At $t = 1$, the economy can reach a high or low branch, and at $t = 2$ it can end in growth, downturn, or recession.
- The lower branch is the branch that reveals the previously neglected possibility of recession.
- **Figure 5** shows the tree that risk-neglecting agents think about at $t = 0$.
- Under neglect, only growth and downturn paths are contemplated. Recession is removed from the perceived state space.
- At $t = 1$, observing the low branch forces agents to revise beliefs and price claims using the possibility of recession.

Economic message: The event-tree pair visualizes belief distortion. Fragility comes from a sudden expansion of the perceived state space: assets that were treated as safe are reclassified as risky once the forgotten branch becomes salient.



(a) Figure 4: Information tree



(b) Figure 5: Information tree with neglected risk

6.5 Proposition 3: Securitization, Liquidity, and Financial Fragility

Read:

- Proposition 3 studies the $t = 1$ market after the neglected branch is realized.
- The key state variable is the amount of spare wealth held by early successful intermediaries relative to the risky securitized claims that need liquidity support.
- If spare wealth is high, early intermediaries absorb debt claims and prices stay close to their value.
- If spare wealth is medium, debt prices fall below intermediaries' reservation price.
- If spare wealth is low, markets become severely illiquid and prices fall to investors' reservation value.
- The ratio I_L^N/S_L^N and the gap $I_{L,j}^N - S_{L,j}^N$ fall with investor wealth, meaning extensive securitization drains the unpledged balance-sheet capacity that could backstop markets.

Economic message: The proposition explains why securitization creates liquidity dry-ups. It not only exposes intermediaries to aggregate risk; it also removes the spare capital that would otherwise buy distressed claims when bad news arrives.

Using (21), we can prove the following result:

PROPOSITION 3: *If the share of early projects is q_l , the equilibrium at $t = 1$ is as follows:*

- If $\frac{I_L^N}{S_L^N} > 1 + (\pi_d - \pi_r) + \frac{(1-q_l)}{q_l} E^N(\pi_\omega | q_l)$, then early intermediaries have a lot of spare wealth at $t = 1$ and thus absorb all of the now risky debt, bidding up its market value to their reservation value $V_1 = (1 - q_l) \cdot E(\pi_\omega | q_l) \cdot A \cdot S_{L,j}^N$.*
- If $\frac{I_L^N}{S_L^N} \in [1 + (\pi_d - \pi_r) + \frac{(1-q_l)}{q_l} \pi_d, 1 + (\pi_d - \pi_r) + \frac{(1-q_l)}{q_l} E^N(\pi_\omega | q_l)]$, then early intermediaries have a medium amount of spare wealth at $t = 1$. They still absorb all of the now risky debt but now the market value of debt is $V_1 = q_l \cdot [A \cdot (I_{L,j}^N - S_{L,j}^N) - (\pi_d - \pi_r) A \cdot S_{L,j}^N]$, which is lower than intermediaries' reservation price.*
- If $\frac{I_L^N}{S_L^N} < 1 + (\pi_d - \pi_r) + \frac{(1-q_l)}{q_l} \pi_d$, then early intermediaries have little spare wealth at $t = 1$. Now they cannot absorb all of the now risky debt, whose equilibrium price stays at investors' reservation value $V_1 = (1 - q_l) \cdot \pi_r \cdot A \cdot S_{L,j}^N$.*

In cases (a)–(c), the ratio I_L^N/S_L^N and the difference $I_{L,i}^N - S_{L,i}^N$ fall with in-

Proposition 3: liquidity after recognition of neglected risk

7 Short summary

- The paper develops a model of shadow banking in which intermediaries originate or acquire loans, securitize risky projects, and issue debt to outside investors.
- Outside investors demand riskless debt because they are extremely risk averse.
- Investor wealth drives the scale of safe-debt demand.
- Safe projects are limited, so high demand for safe debt pushes intermediaries into risky projects.
- Securitization lets intermediaries diversify idiosyncratic risk and issue senior debt backed by pooled risky assets.
- Under rational expectations, securitization is welfare improving because risk-neutral intermediaries efficiently bear aggregate risk.
- Securitization also makes assets and leverage grow together and makes intermediaries interconnected.
- Under neglected risk, agents ignore the recession state and use downturn as the worst contemplated scenario.

- The perceived collateral value of securitized pools is too high, so debt and investment expand too far.
- When the neglected recession risk becomes salient, securities once viewed as safe suffer losses.
- Liquidity dries up because successful intermediaries have already pledged much of their wealth and cannot backstop markets.
- The model distinguishes itself from pure regulatory-arbitrage and adverse-selection explanations by focusing on distorted beliefs about tail aggregate risk.
- Policy implication: monitor overall leverage and exposure concentration, not only risk weights based on ratings.

8 Conclusion

8.1 Core conclusion

Gennaioli, Shleifer, and Vishny present a model in which shadow banking is not inherently inefficient. Under rational expectations, securitization allows intermediaries to diversify idiosyncratic risk, expand safe-debt supply, and allocate aggregate risk to risk-neutral institutions. The same system becomes fragile when agents neglect tail aggregate risk. The problem is not simply that a bad state occurs; it is that the financial system has expanded balance sheets and leverage under beliefs that excluded that state.

8.2 Economic intuition

The key intuition is that securitization changes the composition of risk. Pooling risky loans removes intermediary-specific risk, which makes senior debt look safe and expands borrowing capacity. But once idiosyncratic risk is diversified away, the remaining risk is systematic. If market participants fail to price that systematic tail risk, they overissue safe debt and concentrate the hidden exposure inside the intermediary sector.

8.3 Incremental contribution revisited

The paper’s incremental contribution is to formalize the “diversification myth.” Diversification is usually treated as a stabilizing force, but this model shows that diversification can become destabilizing when it supports leverage against a misperceived state space. This is different from saying banks knowingly exploit regulation or knowingly take excessive risk. The paper emphasizes that mistaken beliefs themselves can generate excessive leverage, apparent safety, and system-wide collapse.

8.4 What the model explains about the crisis

The model speaks directly to features of the 2007–2009 crisis: rapid growth in securitization, demand for AAA-like safe assets, rising leverage, low risk premia, losses on supposedly safe securities, interconnected bank balance sheets, and liquidity dry-ups after bad collateral news. It also explains why management-incentive stories alone may be insufficient: if decision makers did not perceive the tail risk, equity incentives would not necessarily make them more conservative.

8.5 Policy implications

The model suggests that risk-weighted capital requirements can fail when measured risk is itself distorted by neglected states or inflated ratings. A cruder but more robust tool is broad leverage control. Regulators should also pay attention to rapid growth in assets advertised as safe, rising concentration in a single sector

such as real estate, heavy reliance on short-term collateralized borrowing, and financial innovations that promise higher returns with no apparent risk.

8.6 Limitations and open questions

The model is deliberately stylized. It does not fully model rating-agency incentives, repo contract details, regulatory arbitrage, government guarantees, or endogenous learning about neglected states. It also assumes a stark form of risk neglect. These limitations do not weaken the main insight; rather, they identify where the framework can be extended. Future work can combine neglected-risk beliefs with richer institutional frictions and empirical measures of which risks are not salient to market participants.

8.7 Takeaway

The paper changes how to think about securitization. Securitization is not merely a device for risk transfer or regulatory arbitrage. It is a technology for manufacturing perceived safety. When perceived safety is based on incomplete beliefs, securitization can turn risk reduction at the micro level into risk amplification at the system level.